DATA SYNTHESIS · PRIVATE EQUITY

# Does private equity really beat the stock market?

25+ years of US private equity data, measured like-for-like.

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01 · THE QUESTION

# Does PE beat what the same money would have earned in public markets?

PE locks up capital for about 10 years and charges high fees. To be worth it, it must earn a premium over liquid stocks and bonds.

**1,801**

US private equity funds, horizon returns to March 2026 (Cambridge Associates)

**1,366**

funds analysed by vintage year, 1994–2017 (Cambridge Associates, 2019)

**98 years**

of annual returns on US stocks, bonds and bills, 1928–2025 (Damodaran, NYU Stern)

# Comparing a fund's IRR with an index return is misleading

What most people do

## Naive comparison

PE IRR minus the index's annual return. The IRR depends on when money goes in and out; the index assumes it is invested from day one. Timing luck looks like skill.

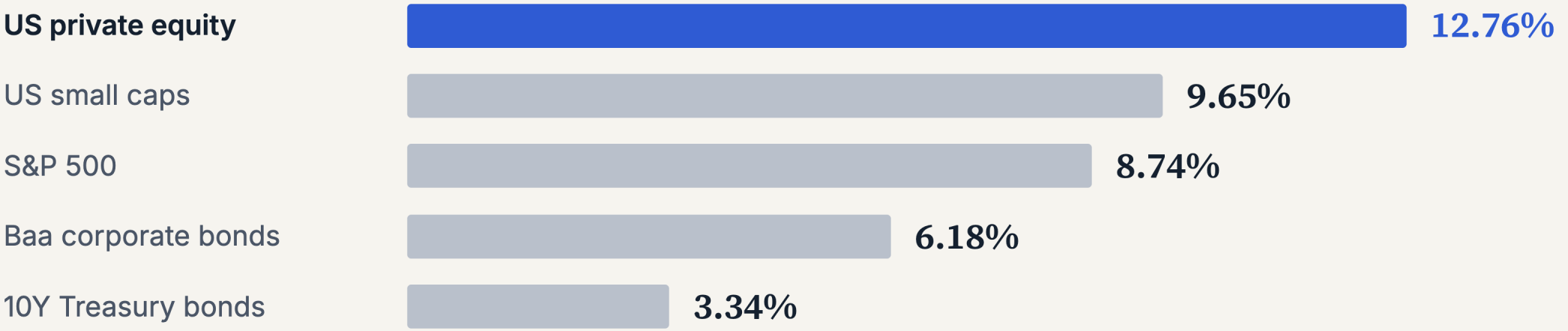
What professionals use

## Public Market Equivalent

Replay the fund's exact cash flows in a stock index: buy when the fund calls capital, sell when it distributes. Same timing, so the gap is pure performance.

**1.5 pts** Against the same index, the naive gap misstates the PE premium by up to 1.5 points a year, in either direction (Cambridge Associates, 2019).

# Over 25 years, US private equity beat listed stocks and bonds



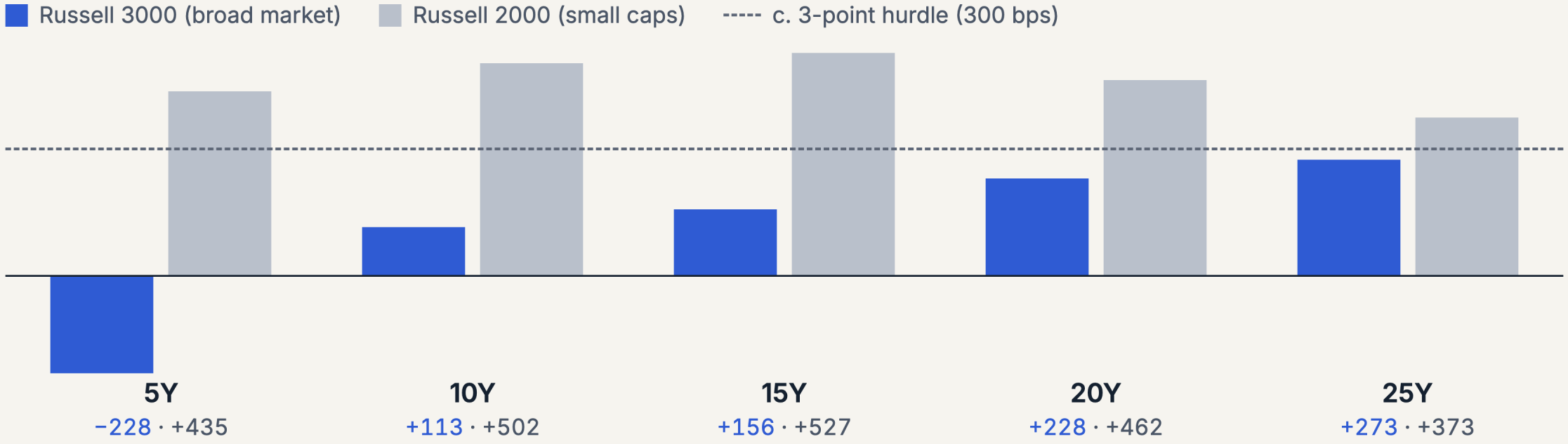

**Measured like-for-like**, PE beat the Russell 3000 by **2.7 points a year**, below the c. 3-point hurdle many pension funds require. Against small caps (Russell 2000): 3.7 points.

Annualised returns, 25 years to Mar 2026 (PE: pooled IRR, net of fees) and Dec 2025 (public: CAGR). Cambridge Associates; Damodaran.

04 · THE VERDICT DEPENDS ON THE BENCHMARK

# PE clears the hurdle only against small caps

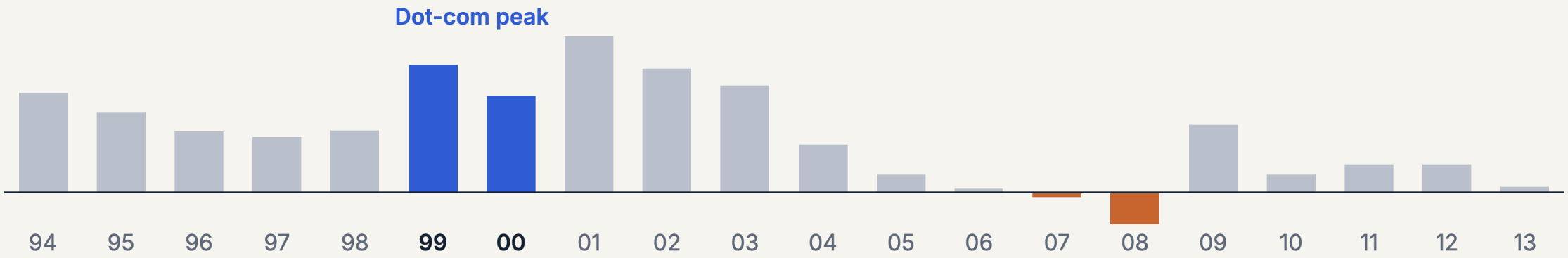
PE value-add vs mPME, bps a year, to March 2026. 1–3 year horizons omitted: they mostly reflect lagged NAVs.



05 · VINTAGE YEAR

# Good vintages could not be picked in advance

PE value-add vs S&P 500 mPME by vintage, bps a year, 1994–2013 (Cambridge Associates, Sep 2019)



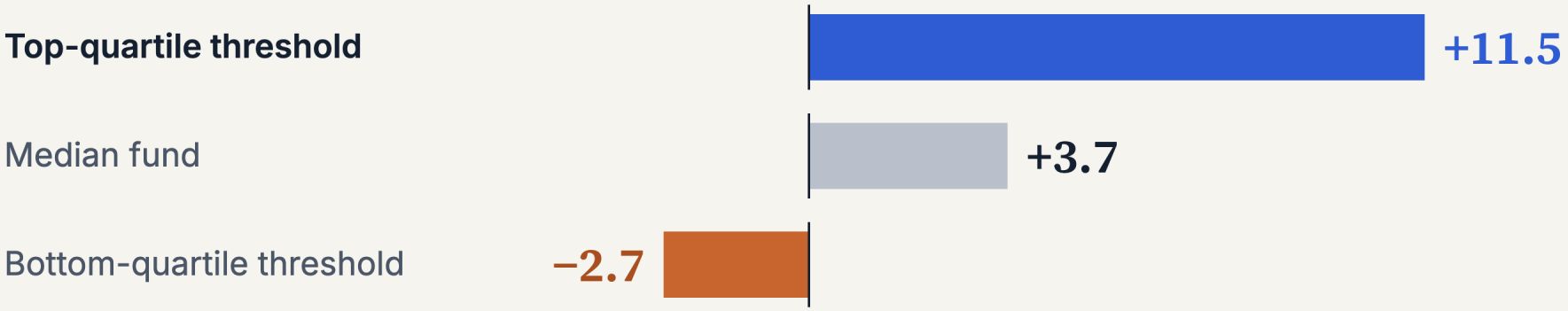

**+0.12** Correlation with the S&P 500's return in the 3 years **before** launch: no link.

**−0.41** Correlation with the S&P 500's return **during** the fund's life: PE adds most when markets are weak.

06 · MANAGER SELECTION

# Dispersion across managers is a risk, not an edge

Fund IRR minus the S&P 500 mPME, points a year, average of 1994–2013 vintages




> The bottom-quartile threshold trailed the market in **14 of 20 vintages**. And winners are hard to spot in advance: for buyouts raised since 2000, past top-quartile performance has been a weak predictor (Harris et al., 2020). **For most investors, dispersion is a risk.**
>
> Quartile thresholds are fund-level IRRs; the mPME uses pooled cash flows, so the comparison is approximate. Cambridge Associates, Sep 2019.

# For the average investor, PE does not clear the bar

1

### Access is the real question

On average, PE earned less than the premium investors require. The case rests on access to top managers, which most investors lack.

2

### Commit steadily

Good vintages could not be spotted from recent market moves. A fixed annual commitment pace captures them.

3

### Benchmark like-for-like

Use PME-based figures and test the index: Russell 3000 vs Russell 2000 moves the verdict by about 1 point a year.

08 · READ THE FULL ANALYSIS

# Memo, Excel model and Python code on GitHub

</> github.com/samyhassairi/pe-vs-public-markets

### Data

Cambridge Associates US PE Benchmark Books (Q1 2026; Q3 2019, legacy) · A. Damodaran, NYU Stern · Builds on Kaplan & Schoar (2005), Harris, Jenkinson & Kaplan (2014) and Harris et al. (2020)

### Limitations

PE valuations are appraisals, not market prices · returns not adjusted for leverage · 1–3 year returns not used (lagged NAVs) · vintage data stop in Sep 2019

**Feedback from PE and M&A professionals is very welcome.**